



Introductory Section

(Unaudited)

UNIVERSITY OF SOUTH CAROLINA

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Michael D. Amiridis
President

September 26, 2024

Dear Carolina community,

Earlier this month, in my second annual State of the University address, I reflected on a year of great achievement across the University of South Carolina. It was a moment to reiterate a defining characteristic of the work we are doing together – driving the university forward with great momentum. The results of our efforts are fully evident.

Overall enrollment on our Columbia campus has reached a new high of over 38,000 students, with about 7,250 new freshmen entering this fall. They include our first students to benefit from a new policy guaranteeing admission to S.C. students who graduate in the top 10 percent of their high school classes, as well as the first freshmen to receive our new USC Commitment Grant, covering tuition and fees for top 10 percent students from families with incomes below \$80,000. As the state's flagship university, we are serving South Carolina through our commitment to access and affordability,

At USC, these students find not only the nation's best first-year experience, but also a great four-year experience. We have upgraded Wi-Fi, expanded campus dining and transportation options, and implemented a successful four-year advising model, among other steps forward. Our students are taking advantage of programs that prepare them for the workforce, including the S.C. Internship Program, supported by the General Assembly, and interdisciplinary certificate studies that help them gain workplace skills that are most valued by employers.

USC achieved a 25 percent increase in external funding awards during the last fiscal year, reaching \$309 million in sponsored awards – a new record, demonstrating the impact of our faculty in critical research areas. We have also increased industry partnerships, providing valuable experiential learning for students and contributing solutions to real-world problems.

We are grateful for another year of strong legislative funding support, which ensures that we can keep tuition frozen for the sixth consecutive year for in-state students. The General Assembly's support includes investment in our planned 16-acre Health Sciences Campus, which will make a profound impact on health care in South Carolina through education, research and practice.

The latest study by the Darla Moore School of Business shows USC having a \$7.4 billion economic impact across the state of South Carolina. As we continue to create career-readiness experiences for our students and increase the retention and graduation rates, we are making greater contributions to the economic growth of the Midlands and the state.

Through these efforts and many others, USC is helping to build a strong future for our students and our entire state and fulfilling its essential role for South Carolina.

Sincerely,

Michael D. Amiridis



Our leadership stands by and values the priorities included in For South Carolina: A Path to Excellence, and will continue to further our important work in those areas. Each priority reflects our foundational values of **Access and Transparency**, **Inclusive Excellence**, and **Service and Integrity**, which are also the core of our Carolinian Creed.



Reimagining the Student Experience and Advancing Post-Graduate Success

We empower USC undergraduate and graduate students to pursue purpose-filled careers and become global citizens and life-long learners by providing them access to affordable, high-quality academic and experiential learning opportunities.

Signature Initiatives

- Foster Access and Belonging
- Empower Diverse Students
- Support Student Excellence
- Promote Teaching Excellence
- Drive Post-Graduate Success

Increasing Research and Scholarship to Drive Community and Economic Impact

We aim to increase impactful research to advance knowledge-creation, spur workforce development, and address socioeconomic challenges in South Carolina and beyond by supporting and empowering USC's diverse researchers and scholars.

Signature Initiatives

- Elevate Research Focus Areas
- Support Research Faculty and Scholars
- Elevate Health in South Carolina
- Advance Team Science
- Expand Mentorship
- Impact Communities in South Carolina and Beyond
- Pursue Workforce Development Integration

Transforming Service Delivery and Promoting Operational Excellence

We create and sustain a user-friendly environment for students, faculty, staff, and other stakeholders by strengthening engagement and accessibility, increasing process efficiency and effectiveness, and delivering outstanding service.

Signature Initiatives

- Enhance Resource Effectiveness
- Exemplify Organizational Excellence
- Redesign Processes and Services



Letter of Transmittal

September 26, 2024

President Amiridis,
Members of the Board of Trustees, and
Friends of the University of South Carolina

We are pleased to present our Annual Comprehensive Financial Report of the University of South Carolina for the year ended June 30, 2024. This Annual Comprehensive Financial Report includes the financial statements for the year ended June 30, 2024, as well as other useful information that helps ensure the University's accountability to the public. Responsibility for the accuracy of the information and for the completeness and fairness of its presentation, including all disclosures, rests with the University's management. We believe the information is accurate in all material respects and fairly presents the University's financial position, revenues, expenses, and other changes in net position.

We believe our system of internal controls is sound and sufficient to disclose material deficiencies in controls to the auditors and the audit committee and to provide management with reasonable, although not absolute, assurance that assets are safeguarded against loss from unauthorized use or disposition. Because the cost of a control should not exceed the benefits to be derived, the objective is to provide reasonable, rather than absolute, assurance that the financial statements are free of any material misstatements. We believe our system of internal controls is sound and sufficient to disclose material deficiencies in controls to the auditors and to the Audit and Compliance Committee of the Board of Trustees and to provide management with reasonable, although not absolute, assurance that assets are safeguarded against loss from unauthorized use or disposition.

State law, federal guidelines, and certain bond covenants require that the University's accounting and financial records be audited each year. For the fiscal year ended June 30, 2024, the University contracted with the independent certified public accounting firm of CliftonLarsonAllen, LLP to perform the University's annual audit. The auditors have issued an unmodified opinion, the most favorable outcome of the audit process. The University's internal auditors also perform fiscal, compliance, and performance audits. The reports resulting from these audits are shared with University administration. Internal and external audit reports are provided to the Audit, Compliance and Risk Committee of the Board of Trustees.

As a lump sum agency of the State of South Carolina, the University is required to provide a complete set of audited financial statements by October of each year for incorporation into the statewide Annual Comprehensive Financial Report. This report fulfills that requirement for the fiscal year ending June 30, 2024. Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative overview and analysis of the basic financial statements. The Annual Comprehensive Financial Report includes Management's Discussion and Analysis and all disclosures necessary for the reader to gain a broad understanding of the University's financial position and results of operations for the fiscal year ended June 30, 2024. The letter of transmittal complements the MD&A and should be read in conjunction with it.

Profile of the University

The University of South Carolina is a state-supported, coeducational institution of higher education. The University is home to more than 200 years of history and tradition, rising from a single building in 1805 to what would become the heart of the campus, the Horseshoe. The Palmetto State established South Carolina College, the precursor to the University of South Carolina, on December 19, 1801, as part of an effort to unite South Carolinians in the wake of the American Revolution. Located in the Capital City, the University was purposefully located and positioned to become the State's higher education leader. The University is one of only 32 public universities to receive both the top-tier research designation and the community engagement designation from the Carnegie Foundation. The University's mission is to educate the state's diverse citizens through teaching, research, creative activity, and service.

The University of South Carolina is governed by the Board of Trustees in accordance with Title 59 Chapter 117 of the State of South Carolina Code of Laws. The Board of the University of South Carolina is composed of 20 members including sixteen members elected by the General Assembly with one from each judicial circuit. Additionally, there are three *ex officio* members including the Governor (or designee), the State Superintendent of Education, and the President of the Greater University of South Carolina Alumni Association. The Governor also appoints one member at-large.

The accompanying financial statements present all funds belonging to the University and its component units. While the multi-campus University of South Carolina System's Board of Trustees has ultimate responsibility, the president and University management have both delegated and statutory responsibilities for financial accountability of the University's funds. The University prepares its financial statements and related disclosures in accordance with standards set by the Governmental Accounting Standards Board (GASB) and implements new GASB statements as they are required.

The financial reporting entity for the financial statements is comprised of the Columbia campus, including the School of Medicine with locations in Columbia and Greenville, and seven system campuses. The accompanying financial statements present all funds belonging to the University